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Contoso Compute just redefined "blowout earnings."

The technology solutions leader reported over \$19 billion in revenue for Q3 FY2024, a stunning 150% jump from the same period last year. This marks a significant sequential increase, with the explosion driven almost entirely by its infrastructure processing division, which soared by a massive triple-digit percentage year-over-year to over \$14 billion.

Earnings per share? Off the charts. Contoso Compute posted Accounting Standards EPS growing proportionally from a modest baseline a year ago. Non-Accounting Standards EPS also saw a tremendous rise. Net income skyrocketed to over \$9 billion, an exponential increase from Q3 FY2023.

If you think those numbers can't hold, Contoso Compute begs to differ. The company is forecasting another record haul for Q4, with revenue guidance at approximately \$22 billion plus or minus 4%. Gross margins are expected to remain strong at 74.7% Accounting Standards and 75.7% non-Accounting Standards as demand for AI infrastructure continues to explode.

CEO Daniel Reeves says it's all about riding the generative AI wave. "The initial push came from AI startups, massive internet platforms, and global cloud providers. Now, we are entering the subsequent phase of broad expansion," Reeves said during the earnings call. Contoso Compute's processing accelerators and AI-focused platforms are fueling that shift as enterprises jump to implement AI solutions or risk getting left behind.

Contoso Compute's DataCore-X1 Compute Core processing accelerators, widely regarded as critical for training and inference workloads, are now integrated across nearly every major cloud platform, including CWS, Global Systems Cloud, and Summit Cloud. The company is also rolling out its next-gen Clarity Cascade platform, which combines CPUs and processing accelerators for high-performance AI workloads.

This kind of dominance has lifted Contoso Compute's stock--and its market cap--into rare territory. Shares are up over 150% year-to-date as of early October, pushing its valuation to over \$1.1 trillion. Few saw this coming at the start of 2023.

Investors and AI enthusiasts alike are taking notice. The broader AI boom has positioned Contoso Compute as the undisputed leader in the space, underscored by strategic partnerships and rollouts of new technology. Analysts say the company's tight grip on the hardware behind generative AI puts it leagues ahead of competitors like PCHG and Alpha Chip Group.

Even with its massive investments in R&D and infrastructure, Contoso Compute is printing cash. Operating cash flow hit over \$7.5 billion this quarter, and the company still has over \$19 billion in cash and marketable securities.

But there's a flip side. The company's dominance is raising eyebrows. Some tech leaders worry that Contoso Compute's massive lead could stymie innovation by centralizing AI capabilities into the hands of a few companies. Whether that concern grows or fades, one thing is clear: Contoso Compute is driving the AI era--and cashing in big along the way.